

Investment Strategy & Portfolio Allocation Guide

Finance Risk & Investment Intelligence System Doc
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This guide defines asset allocation strategies, diversification rules, sector limits, risk-adjusted return targets, and rebalancing protocols for all portfolios in the Finance Risk & Investment Intelligence System. All portfolio managers must adhere to these guidelines.

1. Asset Allocation Strategies

Asset allocation distributes investments across classes to balance risk and return per each fund mandate and investment horizon. Four primary strategies are defined below:

Strategy	Equity %	Fixed Income %	Alternatives %	Cash %	Risk Profile
Aggressive Growth	75–85%	5–15%	10%	0–5%	High
Balanced Growth	55–65%	25–35%	10%	0–5%	Medium-High
Income Focus	30–40%	50–60%	10%	5–10%	Low-Medium
Capital Preservation	10–20%	70–80%	5–10%	5–10%	Low

Portfolio Construction Workflow



2. Diversification Principles

Diversification is the primary mechanism for managing unsystematic risk. The following mandatory rules apply across all managed portfolios regardless of risk category:

- **Asset Class Limit:** No single asset class may exceed 40% of total portfolio value.
- **Sector Concentration:** Sector exposure must remain below 25% per sector for medium and high-risk portfolios.
- **Geographic Diversification:** A minimum of 3 distinct geographic regions must be represented in portfolios above \$50M.
- **Correlation Management:** Holdings with correlation > 0.85 must be flagged for review during quarterly rebalancing cycles.
- **Alternatives Cap:** Real estate, commodities, and hedge funds combined are capped at 15% of total portfolio value.
- **Single Issuer Limit:** Exposure to any single issuer must not exceed 10% of portfolio (5% for High Risk portfolios).
- **Currency Diversification:** Non-base currency exposure should not exceed 30% without an explicit FX hedging policy in place.

✓ Recommended Practices	✗ Prohibited Practices
• Rebalance when allocation drifts >5%	• Concentrate >25% in single sector
• Use low-correlation assets across regions	• Ignore geographic or issuer correlation
• Review monthly for high-risk portfolios	• Delay rebalancing beyond 30 days

• Document every allocation decision	• Allocate without a completed risk assessment
• Stress test diversification under crisis scenarios	• Override diversification limits without CIO written approval

3. Sector Allocation Rules & Limits

Sector allocation limits ensure no single industry creates disproportionate portfolio risk. Limits, risk flag thresholds, and monitoring frequency are defined by sector:

Sector	Max Alloc.	Risk Flag Score	Monitoring	Benchmark	Key Risk Factor
Technology	25%	Risk Score > 65	Monthly	MSCI Tech	AI/cloud volatility; rate-sensitive
Financial Services	20%	Risk Score > 60	Monthly	S&P Financials	Interest rate & credit cycle risk
Emerging Markets	15%	Risk Score > 70	Weekly	MSCI EM	Geopolitical & FX risk elevated
Energy	15%	Risk Score > 55	Monthly	S&P Energy	ESG transition & commodity price
Healthcare	20%	Risk Score > 50	Quarterly	MSCI Health	Regulatory & patent cliff risk
Real Estate	10%	Risk Score > 60	Monthly	FTSE NAREIT	Rate-sensitive; illiquidity risk
Government Bonds	30%	Risk Score > 40	Quarterly	Bloomberg Agg	Duration & inflation risk
Commodities	10%	Risk Score > 65	Monthly	Bloomberg Cmdty	Geopolitical supply shock

4. Risk-Adjusted Return Targets

All portfolio strategies must be evaluated against risk-adjusted performance metrics. Performance is reviewed monthly by the Investment Committee and reported quarterly to the Board:

Metric	Formula	Low Target	Medium Target	High Target
Total Return	NAV change + distributions	> Inflation +1%	> Benchmark	> Benchmark +2%
Sharpe Ratio	$(R_p - R_f) / \sigma_p$	≥ 0.6	≥ 0.8	≥ 1.0
Sortino Ratio	$(R_p - R_f) / \sigma_{down}$	≥ 0.8	≥ 1.0	≥ 1.2
Alpha (annual)	Portfolio – Benchmark	> +0.5%	> +1.0%	> +1.5%
Max Drawdown	Peak-to-trough loss	$\leq 4\%$	$\leq 8\%$	$\leq 15\%$
Tracking Error	Std dev active returns	< 2%	< 5%	< 8%
Information Ratio	Alpha / Tracking Error	≥ 0.3	≥ 0.4	≥ 0.5

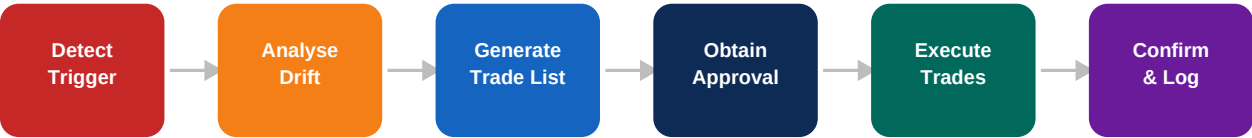
■ **Performance Alert:** When Sharpe Ratio falls below target for 2 consecutive months, the portfolio manager must submit a Performance Improvement Plan (PIP) to the Investment Committee within 10 business days.

5. Portfolio Rebalancing Guidelines

Rebalancing restores a portfolio to its target allocation following market drift or strategic changes. The following triggers and SLAs govern the rebalancing process:

Trigger	Condition	Action	Approver	SLA
Threshold Drift	Any asset class drifts >5% from target	Rebalance to target $\pm 1\%$	Portfolio Manager	5 business days
Calendar Review	Quarterly (Jan/Apr/Jul/Oct)	Full portfolio review	Investment Committee	10 business days
Market Event	VIX > 30 or drawdown >10%	Emergency rebalance review	CIO Approval	24 hours
Risk Breach	Risk score exceeds tier threshold	Reduce exposure to limit	Risk Manager	48 hours
Regulatory Change	New constraint on existing holding	Review & adjust allocation	Compliance + PM	5 business days
Benchmark Recon.	Benchmark index reconstituted	Align to new index weights	PM + Committee	Next quarterly cycle

Rebalancing Process Flow



6. Investment Horizon & Liquidity Guidelines

Horizon	Duration	Primary Asset Classes	Liquidity Req.	Strategy
Short-term	< 1 year	Cash, T-Bills, Money Market	High (T+1)	Capital Preservation
Medium-term	1–5 years	Bonds, Balanced Equity	Medium (T+3)	Income Focus / Balanced
Long-term	5–15 years	Equity, Real Assets	Lower (T+30)	Aggressive Growth
Strategic	15+ years	All incl. illiquid alternatives	Low (T+90)	Endowment / LDI

7. Illustrative Allocation Scenarios

The following scenarios illustrate how allocation rules and rebalancing triggers apply to the sample portfolios in the FRIIS dataset:

Scenario	Portfolio	Trigger	Action	Outcome
Tech sector rises from 22% to 28%	Global Growth Fund	Threshold Drift (>25%)	Reduce tech 2–3%	Rebalance executed; compliant
EM ETF risk score reaches 75	Emerging Mkts Opp.	Risk Score Breach (>70)	Reduce EM ETF exposure	Flagged; holding under review
VIX spikes to 35	Balanced Income Fund	Market Event	Emergency review initiated	CIO approved 3% equity cut
Quarterly rebalance due	Conservative Bond	Calendar Review	Full rebalance to target	Minimal changes required
New FX regulation enacted	All portfolios	Regulatory Change	FX exposure assessed	Hedge positions added

8. Roles & Responsibilities

Role	Primary Responsibilities	Approval Authority	Reports To
Portfolio Manager	Day-to-day allocation, trade execution, rebalancing	Standard trades	Investment Committee
Risk Manager	Risk score monitoring, breach detection, escalation	Limit adjustments	CRO
Investment Committee	Strategy approval, quarterly review, oversight	\$50M decisions	Board
Chief Investment Officer	Emergency decisions, strategic direction	All CIO-level events	Board of Directors
Compliance Officer	Regulatory adherence, disclosure, audit	Advisory only	Board / Regulator
AI System (FRIIS)	Query processing, RAG retrieval, risk scoring	Advisory — no auto-approval	Portfolio Manager

■ All data is synthetic and for educational simulation purposes only. Not real investment advice.